

Asian Autos

Xiaomi Corp

Rating

Outperform

Price Target

📈 1810.HK

35.00 HKD (38.00 OLD)

18 August 2026

Price Target Change



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Xiaomi Q2: Smartphones hold up better than feared; EV and IoT remain under pressure

Q2 adjusted net profit fell 43% YoY, broadly in line with expectations. Xiaomi reported Q2 26 revenue of RMB108.9bn, down 6.1% YoY and 9.9% QoQ. Gross margin declined to 19.8% from 22.5% in Q2 25 and 22.0% in Q1 26, primarily due to higher memory costs and weaker IoT segment amid soft domestic demand. Operating expenses increased to RMB19.4bn, equivalent to 17.8% of revenue, vs, 14.8% in Q2 25, although this improved from 19.0% in Q1 26. The increase was mainly driven by higher R&D spending on AI initiatives and elevated selling & marketing expenses related to overseas IoT expansion. Net profit was RMB9.5bn, while adjusted net profit came in at RMB6.2bn, down 42.6% YoY but up 2.4% QoQ, implying adj. margin of 5.7% vs. 9.3% in Q2 25 and 6.1% in Q1 26.

Lifting FY smartphone margin guidance, while trimming EV and IoT targets.

Management raised its **smartphone gross margin guidance to above 9%** (from c.8%), which we view as achievable given the 9.3% margin delivered in 1H 26, supported by effective price hikes & product mix improvements, and the upcoming flagship launch in Q4. Conversely, management **lowered its FY26 EV sales target to 450k units**, 18% below the previous 550k target and below consensus (c.500k). We view the revised target as conservative and forecast **475k units**. **For IoT, management cut FY26 revenue growth guidance from +10% to -5% to -10%**. We remain more cautious at **-15%**, as 1H 26 IoT revenue fell 21% YoY, with demand still pressured by subsidy-related pull-forward effects and weak consumer sentiment despite an easier comparison base in Q4.

Investment Implications

We rate Xiaomi **Outperform** with price target for **1810.HK at HK\$35.00** (Old: HK\$38.00) based on our SOTP, which correlates to 25x 1-year forward P/E. We lowered our price target primarily based on slower IoT and EV momentum in the near-term and higher R&D investments in AI-related initiatives, partially offset by improved smartphone margin outlook. While near-term fundamentals remain challenging, Xiaomi trades at just 16x 2027E P/E (Bloomberg), well below its historical average of c.25x forward P/E. We see attractive risk-reward at current levels over a 12-month horizon.

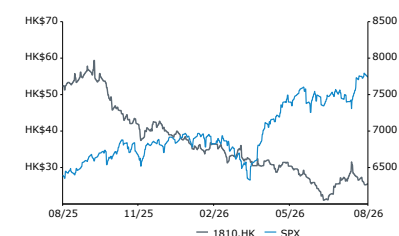
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
1810.HK (CNY)	1.62	0.89	1.29	Revenues (M)	457,287	429,746	501,976	4.8%	EV/Sales (x)	1.0	1.0	0.9
OLD	--	0.93	1.41	Gross Profit (M)	101,806	92,494	111,382	4.6%	EV/EBIT (x)	9.3	17.8	12.2
				Operating Earnings (M)	47,901	24,894	36,556	(12.6)%	Reported P/E (x)	13.9	25.4	17.4
				Net Earnings (M)	41,566	22,845	33,227	(10.6)%	PEG Reported (x)	0.2	(0.6)	0.4

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	18 Aug 2026			
1810.HK Close Price (HKD)	26.18			
Price Target (HKD)	35.00			
Upside/(Downside)	34%			
52-Week Range	59.90/21.30			
SPX	7,745.06			
FYE	Dec			
Div Yield	NA			
Market Cap (HKD) (M)	674,359			
EV (HKD) (M)	517,096			
Performance	YTD	1M	6M	12M
Absolute (%)	(33.4)	(2.6)	(28.6)	(50.0)
SPX (%)	13.1	3.9	13.2	20.1
Relative (%)	(46.5)	(6.5)	(41.8)	(70.1)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Q2 performance review by segment: **Smartphone** shipments reached 31.2mn units in Q2, down -26.4% YoY and -7.7% QoQ, yet Xiaomi maintained its position among top 3 global smartphone vendors. ASP increased +25.7% YoY and +3.1% QoQ, driven by premiumization efforts amid rising memory costs. Gross margin reached 8.5%, ahead of market expectations, benefiting from effective price hikes and product mix optimization. Management expects memory price inflation to moderate going forward, although we believe memory prices will continue to rise and peak in 2H27. **IoT and lifestyle** revenue declined -19.2% YoY, due to a high base and weaker post-subsidy domestic demand, while partially offset by robust overseas growth. Overseas store count reached 640, with a target of 1,000 stores by end-2026. **Internet Services** remained solid, underpinned by an expanding user base of 767mn MAU and robust advertising demand driven by competition in food delivery and rapid expansion of LLM model platforms. Stronger advertising revenue, relative to gaming revenue, boosted gross margin to 76.8%. For the **EV segment**, Q2 saw sales volume of 104k units, +28.2% YoY and +28.9% QoQ, but ASP declined to RMB 239k units, -8.6% YoY and -2.7% QoQ on produce mix skew towards SU7. Gross margin declined to 19.2%, from 26.4% in Q2 25 and 20.1% in Q1 26, primarily due to an unfavorable product mix, as Q2 25 benefited from a higher contribution from the highly margin accretive SU7 Ultra. In addition, AI and other new business initiatives remained margin dilutive at their current early stage of development.

AI business is gaining momentum and provides meaningful optionality. In April, Xiaomi released MiMo v2.5, which ranked No.1 on OpenRouter by weekly API call volume. In August, Xiaomi further launched Mimo Code, its AI coding assistant. The company is also expanding into embodied AI. In July, Xiaomi released and open-sourced Xiaomi-Robotics-UO, which ranked No.1 overall among 126 models globally on the WorldArena benchmark. In addition, Xiaomi has successfully deployed robots within its own manufacturing facilities, highlighting the company's leading R&D capabilities in embodied intelligence. While AI currently contributes only a limited portion of revenue, we believe Xiaomi's increasingly robust AI technology platform will enhance its smartphone, smart-home, and EV ecosystems, creating substantial synergies across its product portfolio. Overall, we view Xiaomi's AI strategy as an important source of long-term upside and believe the company's long-term prospects remain highly attractive.

Overall, we remain constructive on Xiaomi's long-term growth story, despite near-term headwinds from higher memory prices and post-subsidy demand weakness. We expect the smartphone, IoT, and EV businesses to stabilize next year as memory cost inflation moderates and the pull-forward impact of subsidies gradually fades. Looking ahead, the next phase of growth should be supported by the continued international expansion of its IoT ecosystem and the global rollout of its EV business beginning in 2027. Beyond these drivers, Xiaomi's rapidly developing AI capabilities could further strengthen its ecosystem advantage over time. **We rate Xiaomi Outperform.**

Financial forecast and estimate changes

Following the 2Q 2026 results and management's updated outlook, we have updated our financial model and forecasts to reflect the latest operating trends and guidance:

- **Smartphone business:** We raise our gross margin forecasts following Xiaomi's stronger-than-expected margin resilience in 1H26. Higher ASPs, favorable product mix shifts, and the launch of next-generation flagship models in 4Q 2026 are also expected to support profitability. As a result, we raise our smartphone gross margin forecasts to 9.2% in 2026 (vs. 8.1% previously) and 9.0% in 2027 (vs. 8.0% previously).
- **IoT business:** We are more cautious than management's guidance of a 5-10% decline and now forecast a 15% revenue decline in 2026, primarily reflecting weak domestic demand. While the comparison base in 4Q 2026 may be relatively low, the potential recovery is likely to be tempered by subsidy-driven demand pull-forward and continued weakness in consumer sentiment, limiting the scope for a meaningful rebound.
- **EV business:** We trim our 2026 vehicle shipment forecast to 475k units (still above management's guidance of 450k units), based on our assumptions of monthly deliveries of 20-25k units for the SU7, 10-13k units for the YU7, and 25k units for the SkyNomad. We expect the SkyNomad to begin deliveries in mid-September, providing an additional growth driver for the EV business. We think the upcoming N70 and N90 are positioned to broaden Xiaomi's product lineup rather than cannibalize existing models. We estimate the 2 new models could achieve combined sales of c.25-30k units in their early months, with monthly sales subsequently stabilizing at c.20-25k units.

Overall, we lower our 2026 and 2027 revenue forecasts by 6% and 7%, respectively, and consequently reduce our EPS estimates by 4% and 8%. Our price target for Xiaomi is **HK\$35.00** (Old: HK\$38.00) based on our SOTP analysis, which correlates to 25x 1-year forward P/E. We lowered our price target primarily based on slower IoT momentum in the near-term

and higher R&D investments in AI-related initiatives. [Exhibit 16](#)-[REFERENCE NOT FOUND] shows a summary of our estimate changes. Our latest projections for the company are attached in the appendix section.

Links to related research:

11 Aug 2026 - [China Autos: Mid-Year Check-In; Exports cushion Domestic weakness, BYD and Xiaomi model updates](#)

4 Aug 2026 - [China Smartphone Tracker \(June\): Lower yet still some inventory risk](#)

30 Jul 2026 - [Xiaomi: SkyNomad N90 Max & N70 Max Debut - Our thoughts](#)

27 May 2026 - [Xiaomi Q1: Resilience on display amid memory cycle; fundamentals reinforced — reiterate Outperform](#)

27 Apr 2026 - [Xiaomi: 2026 Investor Day takeaways — AI, Overseas, Memory, and Humanoid robotics](#)

12 Nov 2025 - [Xiaomi: Smartphone Premiumization on track, amid near-term pressure from rising memory prices; Lower PT to HK\\$57](#)

26 Sep 2025 - [Xiaomi: Unpacking the EV margin advantage — Leveraging Brand, Scale efficiency, and Supply chain mastery](#)

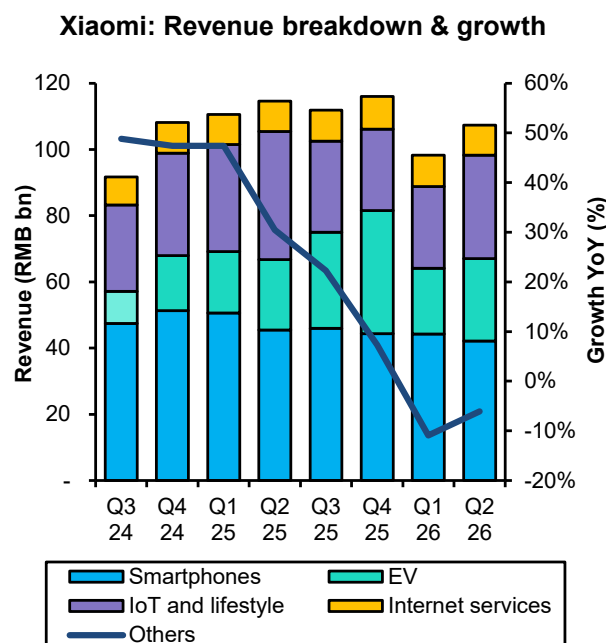
18 Jun 2025 - [Xiaomi: Decoding Xiaomi EV's Success — Product, Marketing, Brand, and Ecosystem](#)

15 Apr 2025 - [Xiaomi's EV-olution: A unique synergistic ecosystem with promising EV prospects; Initiating at Outperform — PT HK\\$55](#)

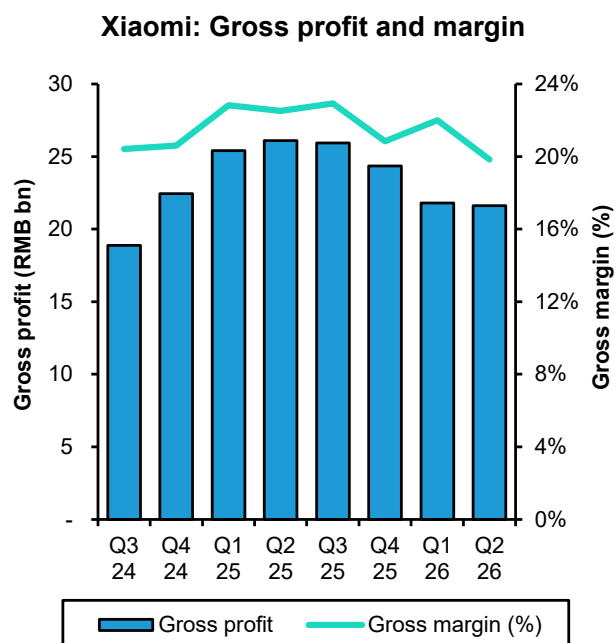
EXHIBIT 1: **Xiaomi Q2 26 results summary**

Xiaomi (1810.HK) RMB mn	Actual Q3 24	Actual Q4 24	Actual Q1 25	Actual Q2 25	Actual Q3 25	Actual Q4 25	Actual Q1 26	Actual Q2 26	YoY	QoQ
Overall financial metrics										
Revenue	92,507	109,005	111,293	115,956	113,121	116,917	99,142	108,922	-6.1%	9.9%
yoy growth	48.8%	47.4%	47.4%	30.5%	22.3%	7.3%	-10.9%	-6.1%		
Gross profit	18,881	22,455	25,406	26,101	25,936	24,363	21,810	21,609	-17.2%	-0.9%
Gross margin (%)	20.4%	20.6%	22.8%	22.5%	22.9%	20.8%	22.0%	19.8%	-267bps	-216bps
Selling and marketing expenses	6,280	7,729	7,200	7,778	8,310	9,927	8,276	8,648	11.2%	4.5%
% of revenue	6.8%	7.1%	6.5%	6.7%	7.3%	8.5%	8.3%	7.9%	123bps	-41bps
Research and development expenses	5,957	7,437	6,712	7,763	9,059	9,598	8,954	9,231	18.9%	3.1%
% of revenue	6.4%	6.8%	6.0%	6.7%	8.0%	8.2%	9.0%	8.5%	178bps	-56bps
Administrative expenses	1,415	1,480	1,530	1,627	1,848	1,648	1,630	1,482	-8.9%	-9.1%
% of revenue	1.5%	1.4%	1.4%	1.4%	1.6%	1.4%	1.6%	1.4%	-4bps	-28bps
Operating profit	5,229	5,809	9,964	8,932	6,719	3,191	2,949	2,247	-74.8%	-23.8%
Operating margin (%)	5.7%	5.3%	9.0%	7.7%	5.9%	2.7%	3.0%	2.1%	-564bps	-91bps
Net profit	5,352	9,026	10,924	11,904	12,269	6,544	4,735	9,463	-20.5%	99.9%
Net margin (%)	5.8%	8.3%	9.8%	10.3%	10.8%	5.6%	4.8%	8.7%	-158bps	391bps
Adjusted net profit	6,252	8,316	10,676	10,831	11,311	6,349	6,072	6,219	-42.6%	2.4%
Adj. net margin (%)	6.8%	7.6%	9.6%	9.3%	10.0%	5.4%	6.1%	5.7%	-363bps	-42bps
EPS - basic (RMB per share)	0.22	0.36	0.44	0.46	0.47	0.26	0.18	0.37	-20.1%	100.7%
Adjusted EPS - basic (RMB per share)	0.25	0.33	0.43	0.42	0.44	0.24	0.24	0.24	-42.3%	2.6%
Financial metrics by segment										
Smartphone × AIoT										
Revenue	82,809	92,317	92,713	94,693	84,111	79,700	79,277	84,026	-11.3%	6.0%
Operating profit	6,915	6,826	10,531	9,212	6,035	2,137	6,049	4,847	-47.4%	-19.9%
Operating margin %	8.4%	7.4%	11.4%	9.7%	7.2%	2.7%	7.6%	5.8%	-396bps	-186bps
Smartphones										
Revenue	47,452	51,311	50,612	45,520	45,969	44,339	44,273	42,119	-7.5%	-4.9%
Gross profit	5,548	6,178	6,283	5,220	5,096	3,668	4,476	3,599	-31.1%	-19.6%
Gross margin %	11.7%	12.0%	12.4%	11.5%	11.1%	8.3%	10.1%	8.5%	-292bps	-157bps
IoT and lifestyle products										
Revenue	26,102	30,868	32,339	38,712	27,552	24,597	24,681	31,278	-19.2%	26.7%
Gross profit	5,418	6,343	8,155	8,722	6,595	4,952	6,216	6,272	-28.1%	0.9%
Gross margin %	20.8%	20.5%	25.2%	22.5%	23.9%	20.1%	25.2%	20.1%	-248bps	-513bps
Internet services										
Revenue	8,463	9,339	9,076	9,098	9,381	9,886	9,468	9,044	-0.6%	-4.5%
Gross profit	6,555	7,144	6,982	6,856	7,211	7,592	7,206	6,942	1.3%	-3.7%
Gross margin %	77.5%	76.5%	76.9%	75.4%	76.9%	76.8%	76.1%	76.8%	141bps	66bps
EV & Other initiatives										
Revenue	9,697	16,688	18,580	21,263	29,010	37,216	19,864	24,896	17.1%	25.3%
Gross profit	1,660	3,410	4,305	5,621	7,384	8,453	3,994	4,792	-14.7%	20.0%
Gross margin %	17.1%	20.4%	23.2%	26.4%	25.5%	22.7%	20.1%	19.2%	-719bps	-86bps
Operating profit	(1,686)	(1,017)	(567)	(279)	684	1,053	(3,100)	(2,600)	831.2%	-16.1%
Operating margin %	-17.4%	-6.1%	-3.1%	-1.3%	2.4%	2.8%	-15.6%	-10.4%	-913bps	516bps
Key operating metrics:										
Smartphones										
Smartphone shipment (mn units)	43.1	42.7	41.8	42.4	43.3	37.8	33.8	31.2	-26.4%	-7.7%
China	10.2	11.5	13.3	10.4	10.0	10.0	8.7	8.2	-21.2%	-5.7%
International	32.9	31.2	28.5	32.0	33.3	27.8	25.1	23.0	-28.1%	-8.4%
China market share (%)	14.8%	15.8%	18.8%	15.3%	14.9%	13.1%	12.5%	12.4%	-293bps	-6bps
Global market share (%)	13.8%	13.0%	14.1%	14.7%	13.6%	11.1%	11.3%	11.5%	-321bps	15bps
Smartphone ASP (RMB)	1,101	1,202	1,211	1,074	1,063	1,173	1,310	1,350	25.7%	3.1%
Internet services										
Advertising revenue	6,200	7,060	6,600	6,830	7,200	7,800	7,100	7,200	5.4%	1.4%
MIUI MAU (mn units)	686	702	719	731	742	754	746	767	4.8%	2.7%
China	168	173	181	185	187	190	196	198	7.0%	1.0%
International	518	529	538	546	554	564	550	569	4.1%	3.3%
Internet Service ARPU (RMB)	12.3	13.3	12.6	12.4	12.6	13.1	12.7	11.8	-5.2%	-7.0%
China	34.0	36.3	35.3	33.0	32.6	32.8	33.2	31.1	-3.7%	0.4%
International	5.3	5.8	5.0	5.5	5.9	6.5	5.4	5.1	21.9%	-1.4%
EV										
EV revenue	9,697	16,688	18,580	21,263	29,010	37,216	19,864	24,896	17.1%	25.3%
Sales volume (units)	39,790	69,697	75,869	81,302	108,796	145,115	80,856	104,199	28.2%	28.9%
SU7	39,790	69,697	72,592	72,955	58,488	38,380	9,119	71,101	-2.5%	679.7%
SU7 Ultra	-	-	3,277	6,868	5,349	255	114	162	-97.6%	42.1%
YU7	-	-	-	1,479	44,959	106,480	71,623	31,383	2021.9%	-56.2%
ASP (RMB)	243,708	239,432	244,897	261,534	266,647	256,459	245,676	238,926	-8.6%	-2.7%
China EV retail volume (units)	3,015,132	3,731,078	2,347,125	2,972,206	3,392,408	3,765,930	1,805,470	2,760,217	-7.1%	52.9%
Domestic EV market share (%)	1.3%	1.9%	3.2%	2.7%	3.2%	3.9%	4.5%	3.8%	104bps	-70bps
Total industry volume (units)	6,013,811	7,586,056	5,090,687	5,786,507	6,161,688	6,513,679	4,208,815	4,604,815	-20.4%	9.4%
Domestic PV market share (%)	0.7%	0.9%	1.5%	1.4%	1.8%	2.2%	1.9%	2.3%	86bps	34bps

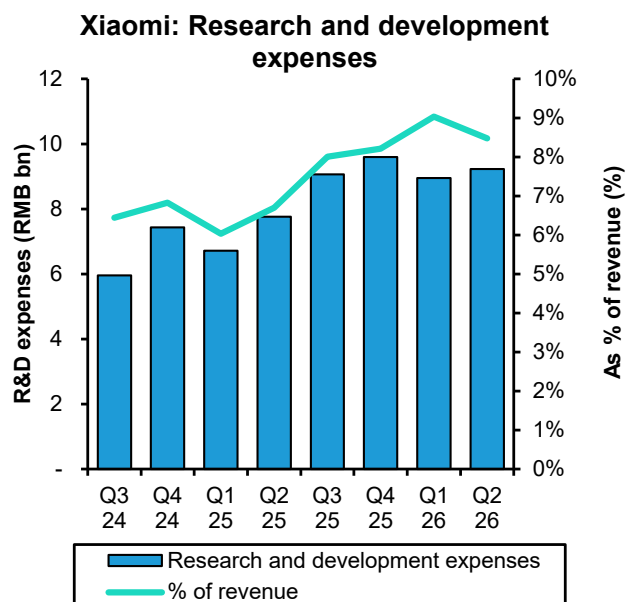
Source: CAAM, C.A.D., Company reports, and Bernstein analysis
ASIAN AUTOS

EXHIBIT 2: Xiaomi achieved revenue of RMB 109bn in Q2 2026, -6.1% yoy and +9.9% qoq

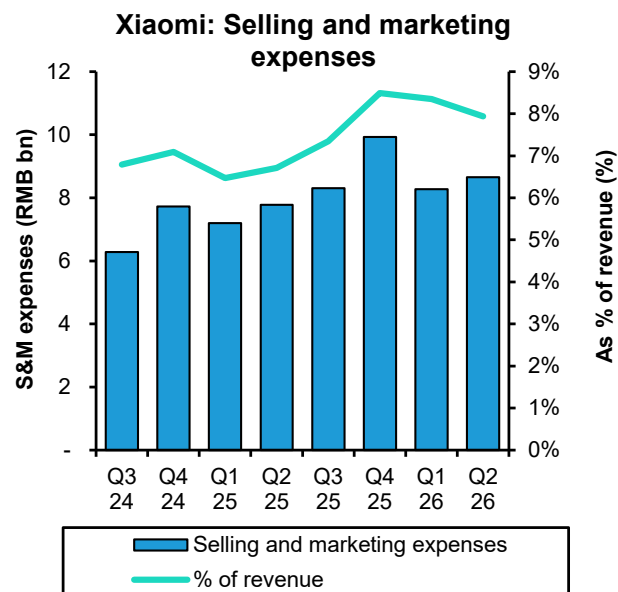
Source: Company reports and Bernstein analysis

EXHIBIT 3: Overall gross margin came in at 19.8% in Q2 26, vs. 22.5% in Q2 25 and 22.0% for Q1 26

Source: Company reports and Bernstein analysis

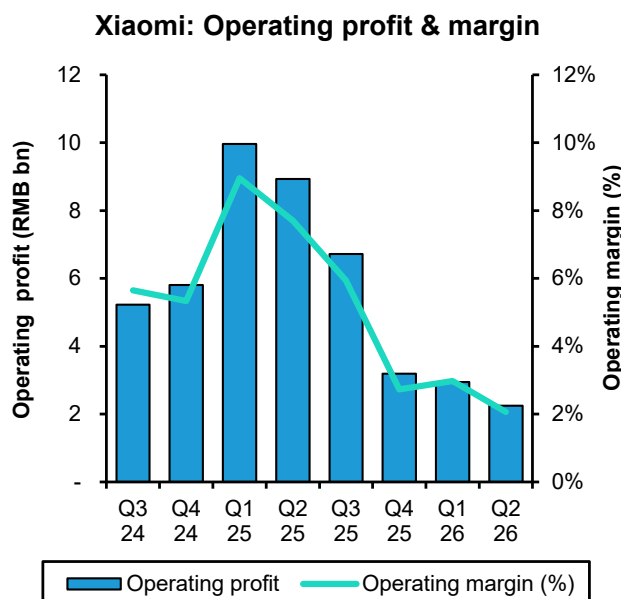
EXHIBIT 4: R&D expenses reached RMB 9.2bn for Q2 26, implying 8.5% of revenue, vs. 6.7% in Q2 25 and 9.0% for Q1 26

Source: Company reports and Bernstein analysis

EXHIBIT 5: Selling expenses was RMB 8.6bn, or 7.9% of revenue in Q2 26, vs. 6.7% in Q2 25 and 8.3% for Q1 26

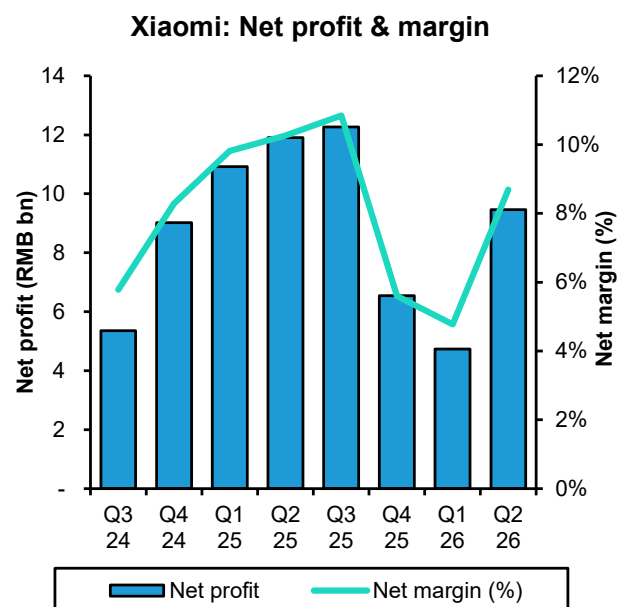
Source: Company reports and Bernstein analysis

EXHIBIT 6: Xiaomi recorded RMB 2.2bn operating profit in Q2 26, or 2.1% operating margin, vs. 7.7% in Q2 25 and 3.0% for Q1 26



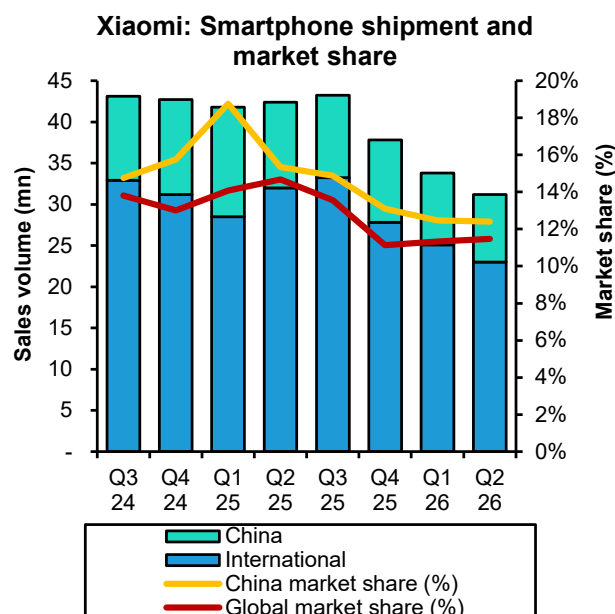
Source: Company reports and Bernstein analysis

EXHIBIT 7: Net profit reached RMB 9.5bn in Q2 26, or 8.7% net margin, vs. 10.3% in Q2 25 and 4.8% for Q1 26



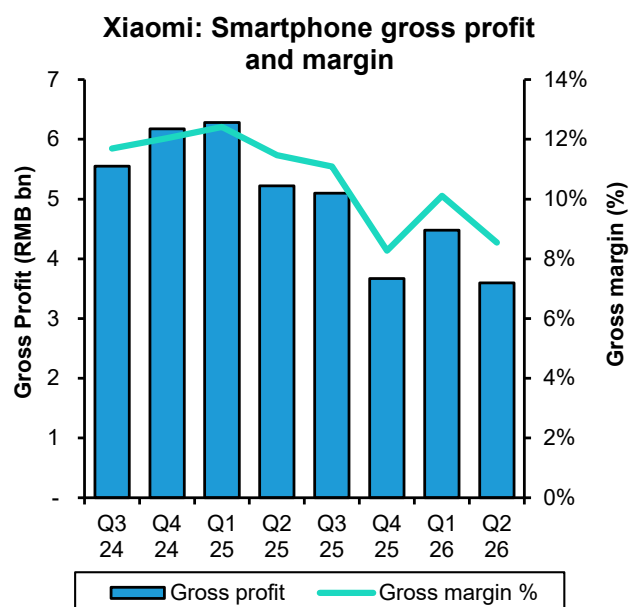
Source: Company reports and Bernstein analysis

EXHIBIT 8: Xiaomi's smartphone shipment came in at 31.2mn in Q2 26, -26.4% yoy/-7.7% qoq; China's smartphone shipments decrease by -21.2% yoy/-5.7% qoq, while overseas down -28.1%/-6.4 qoq; Xiaomi's global market share was 11.5%

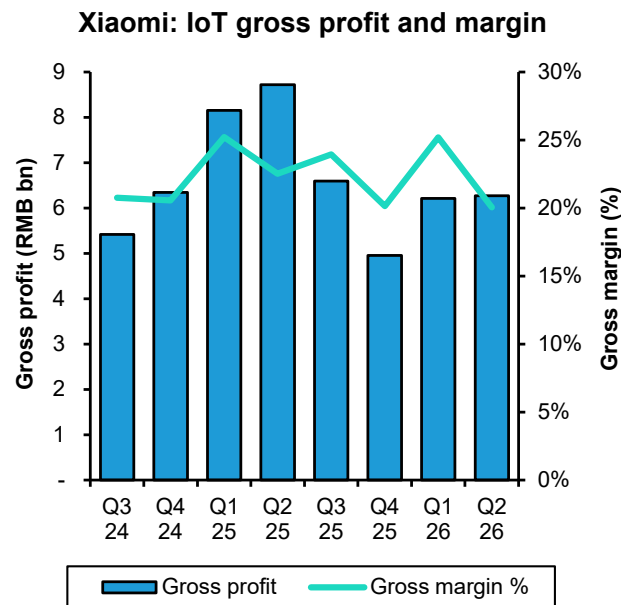


Source: Canalys and Bernstein analysis

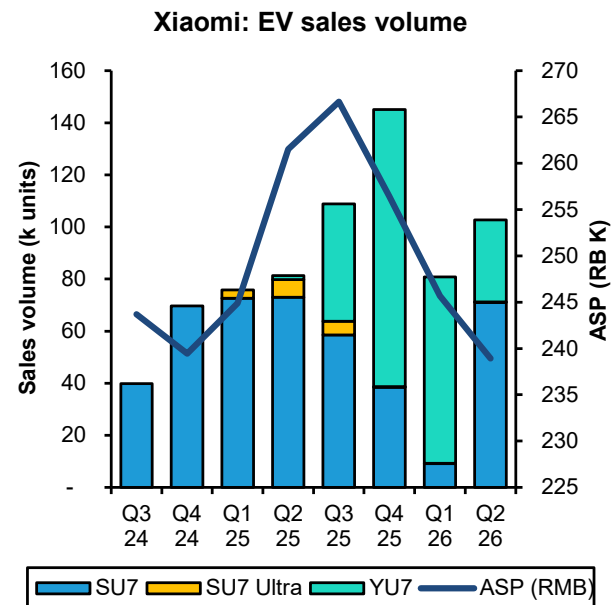
EXHIBIT 9: Smartphone margin reached 8.5%, vs. 11.5% in Q2 25 and 10.1% for Q1 26



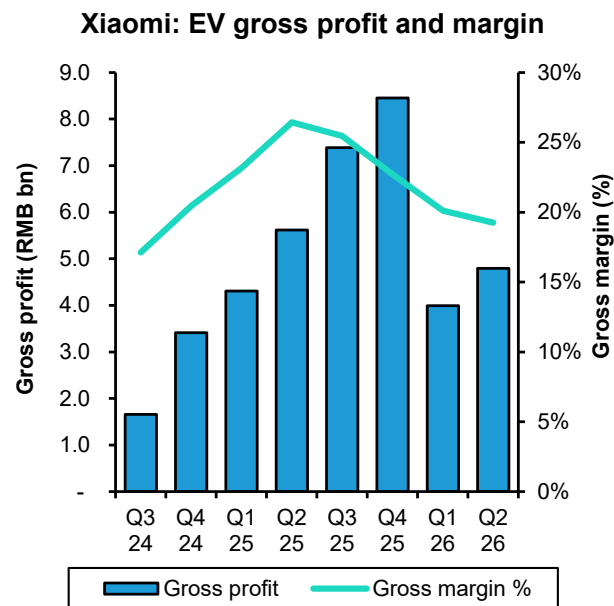
Source: Company reports and Bernstein analysis

EXHIBIT 10: Xiaomi's IoT registered 20.1% gross margin, vs. 22.5% in Q2 25 and 25.2% for Q1 26

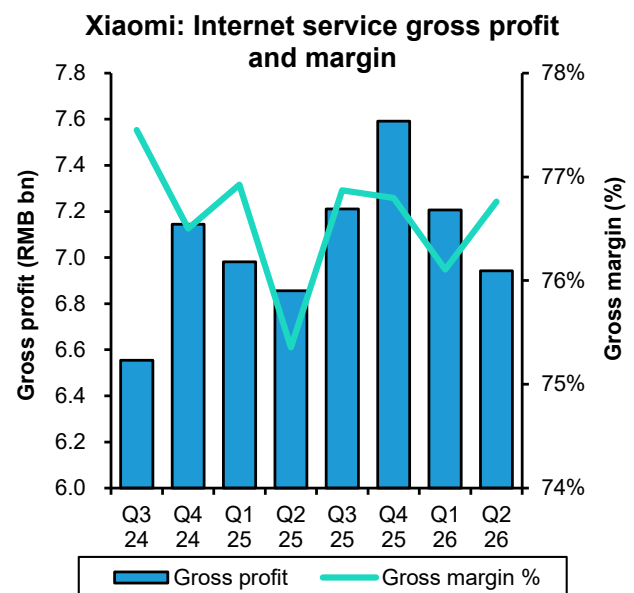
Source: Company reports and Bernstein analysis

EXHIBIT 11: EV sales volume was 104k units in Q2 2026, +28.2% yoy/+28.9% qoq

Source: Company reports and Bernstein analysis

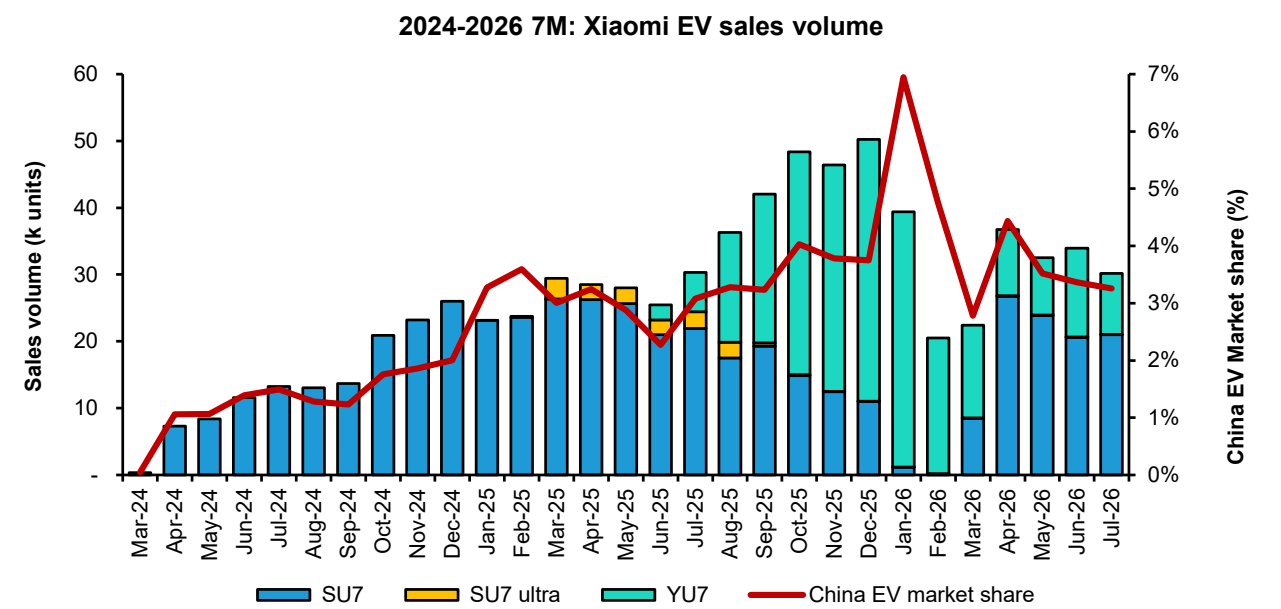
EXHIBIT 12: EV gross margin was 19.2% in Q2 26, vs. 26.4% in Q2 25 and 20.1% for Q1 26

Source: Company reports and Bernstein analysis

EXHIBIT 13: Internet services margin was stable at 76.8%

Source: Company reports and Bernstein analysis

EXHIBIT 14: **Xiaomi's share in China EV market reached 3.3% in July 2026 and 3.7% in Q2 2026, vs. 4.6% in Q1 2026 due to the weakness of YU7**



Source: C.A.D. and Bernstein analysis

EXHIBIT 15: **Xiaomi launched the new SU7 on March 19th and YU7 GT & Standard trims on May 21st; Xiaomi confirmed that the SkyNomad N70 and N90 are scheduled for launch in September**

Nameplate	Type	Class	Segment	2023				2024				2025				2026E				2027E			
				Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Xiaomi																							
SU7	BEV	C	Sedan																				
SU7 Ultra	BEV	C	Sedan																				
YU7	BEV	C	SUV																				
YU7 GT	BEV	C	SUV																				
SkyNomad N70	EREV	C	SUV																				
SkyNomad N90	EREV	D	SUV																				
SU7 L	BEV	E	Sedan																				

Source: Company disclosures, IHS, and Bernstein analysis

EXHIBIT 16: **Summary of key operating metrics forecasts**

RMB million	Current estimates			Old estimates			New vs. Old		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Overall financial metrics									
Revenue	429,746	501,976	585,569	458,414	539,845	628,226	-6.3%	-7.0%	-6.8%
Growth yoy %	-6.0%	16.8%	16.7%	0.2%	17.8%	16.4%			
Gross profit	92,494	111,382	132,229	95,558	117,385	141,124	-3.2%	-5.1%	-6.3%
Gross margin %	21.5%	22.2%	22.6%	20.8%	21.7%	22.5%			
Operating profit	24,894	36,556	49,465	25,777	40,087	53,931	-3.4%	-8.8%	-8.3%
Operating margin %	5.8%	7.3%	8.4%	5.6%	7.4%	8.6%			
Net profit	22,845	33,227	44,071	23,813	36,193	47,822	-4.1%	-8.2%	-7.8%
Net margin %	5.3%	6.6%	7.5%	5.2%	6.7%	7.6%			
Adjusted Net Profit	24,113	38,390	50,071	29,570	41,196	53,620	-18.5%	-6.8%	-6.6%
Adjusted net margin %	5.6%	7.6%	8.6%	6.5%	7.6%	8.5%			
Basic EPS	0.89	1.29	1.71	0.93	1.41	1.86	-4.1%	-8.2%	-7.9%
Adjusted EPS - Basic	0.94	1.49	1.95	1.15	1.60	2.09	-18.6%	-7.0%	-6.8%
Financial metrics by segment									
Smartphones									
Revenue	168,395	176,675	200,172	170,454	178,803	202,584	-1.2%	-1.2%	-1.2%
Gross margin %	9.2%	9.0%	10.0%	8.1%	8.0%	10.0%	1.1ppt	1.0ppt	0.0ppt
IoT and lifestyle products									
Revenue	104,563	110,266	121,293	116,864	129,840	144,409	-10.5%	-15.1%	-16.0%
Gross margin %	21.9%	22.0%	23.0%	21.1%	23.0%	23.0%	0.8ppt	-1.0ppt	0.0ppt
Internet services									
Revenue	39,065	42,937	46,849	39,825	43,716	47,680	-1.9%	-1.8%	-1.7%
Gross margin %	76.2%	76.0%	76.0%	75.8%	76.0%	76.0%	0.4ppt	0.0ppt	0.0ppt
EV & Other Initiatives									
Revenue	111,428	168,099	213,254	129,562	187,486	233,553	-14.0%	-10.3%	-8.7%
Gross margin %	19.8%	20.6%	21.0%	20.8%	21.3%	22.0%	-1.0ppt	-0.8ppt	-1.0ppt
Key operating metrics									
Smartphones									
Shipment volume	129	133	147	132	136	150	-2.4%	-2.3%	-2.3%
Global market share %	12.2%	12.3%	12.3%	12.4%	12.6%	12.6%			
Average selling price (RMB)	1,309	1,326	1,366	1,293	1,311	1,350	1.2%	1.2%	1.2%
EV									
Sales volume	475,255	692,600	863,600	547,755	765,200	939,200	-13.2%	-9.5%	-8.0%
ASP (RMB)	234,459	242,707	246,936	236,534	245,015	248,672	-0.9%	-0.9%	-0.7%

Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 17: **Xiaomi: Summary of estimates**

Xiaomi: Summary of estimate changes												
	Revenue (RMB mn)				EPS (RMB per share)				Adjusted EPS (RMB per share)			
	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
Bernstein estimates	457,287	429,746	501,976	585,569	1.62	0.89	1.29	1.71	1.53	0.94	1.49	1.95
Bernstein - Old		458,414	539,845	628,226		0.93	1.41	1.86		1.15	1.60	2.09
New vs. Old		-6%	-7%	-7%		-4%	-8%	-8%		-19%	-7%	-7%
Consensus		459,059	538,617	627,337		0.97	1.33	1.71		1.07	1.40	1.82
Upside /(downside)		-6%	-7%	-7%		-9%	-3%	0%		-12%	6%	7%

Source: Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: Xiaomi: Summary of financials

RMB mn	2023	2024	2025	2026E	2027E	2028E
INCOME STATEMENT						
Revenue	270,970	365,906	457,287	429,746	501,976	585,569
yoy%	-3.2%	35.0%	25.0%	-6.0%	16.8%	16.7%
Cost of sales	(213,494)	(289,346)	(355,481)	(337,251)	(390,595)	(453,340)
Gross profit	57,476	76,560	101,806	92,494	111,382	132,229
Gross margin %	21.2%	20.9%	22.3%	21.5%	22.2%	22.6%
Research and development expenses	(19,098)	(24,050)	(33,132)	(39,843)	(40,158)	(43,918)
Selling and marketing expenses	(19,227)	(25,390)	(33,214)	(33,807)	(35,138)	(38,062)
Administrative expenses	(5,127)	(5,601)	(6,653)	(6,437)	(7,530)	(8,784)
EBIT	14,025	21,519	28,806	12,407	28,556	41,465
EBIT margin %	5.2%	5.9%	6.3%	2.9%	5.7%	7.1%
Operating profit	20,009	24,503	47,901	24,894	36,556	49,465
Operating margin %	7.4%	6.7%	10.5%	5.8%	7.3%	8.4%
Profit before income tax	22,011	28,127	49,647	27,605	39,556	52,465
Income tax expenses	(4,537)	(4,548)	(8,080)	(4,761)	(6,329)	(8,394)
Profit for the year	17,474	23,578	41,566	22,845	33,227	44,071
Net margin %	6.4%	6.4%	9.1%	5.3%	6.6%	7.5%
Less: Non-controlling interests	(1)	(80)	(77)	13	19	26
Profits to equity holders of the company	17,473	23,499	41,489	22,858	33,246	44,097
Earnings per share (RMB) - Basic	0.70	0.95	1.62	0.89	1.29	1.71
Earnings per share (RMB) - Diluted	0.69	0.93	1.57	0.86	1.25	1.66
CASH FLOW STATEMENT						
Profit for the year	17,474	23,578	41,566	22,845	33,227	44,071
Adjustments:	4,982	10,589	3,388	15,072	17,806	19,641
Changes in working capital	17,319	3,995	(14,220)	(4,997)	(11,909)	(1,591)
Net cash flows from/(used in) operating activities	41,300	39,243	34,142	32,919	39,124	62,121
Purchases of PPE	(6,269)	(7,297)	(12,769)	(12,892)	(14,055)	(14,054)
Other cash flow relating to investing activities	(28,900)	(29,634)	(58,910)	5,151	4,185	4,185
Net cash flows generated from/(used in) investing activities	(35,169)	(36,931)	(71,679)	(7,742)	(9,871)	(9,869)
Proceeds/(Repayment) of bank loans	4,844	6,733	5,297	1,000	1,000	1,000
Other cash flow relating to financing activities	(5,349)	(10,708)	25,470	-	-	-
Net cash flows generated from/(used in) financing activities	(505)	(3,976)	30,768	1,000	1,000	1,000
Cash and cash equivalents at beginning of the year	80,447	86,471	84,928	78,183	104,360	134,614
Exchange losses on cash and cash equivalents	398	120	23	-	-	-
Cash and cash equivalents at end of the year	86,471	84,928	78,183	104,360	134,614	187,866

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 19: **Xiaomi: Summary of financials**

RMB mn	2023	2024E	2025E	2026E	2027E	2028E
BALANCE SHEET						
Assets						
Cash	38,425	39,138	31,493	57,671	87,924	141,176
Inventories	44,423	62,510	80,989	39,127	99,988	61,475
Trade receivables	12,151	14,589	15,240	13,017	19,989	18,514
Other current assets	104,054	109,473	127,088	124,857	129,984	135,950
Total current assets	199,053	225,709	254,811	234,673	337,887	357,115
Property, plant and equipment	13,721	33,661	26,914	53,092	83,346	136,598
Intangible assets	8,629	5,476	4,579	4,579	4,579	4,579
Equity method investments	6,922	6,151	6,268	6,184	5,813	5,443
Long-term investments	60,200	14,589	15,240	13,017	19,989	18,514
Other non-current assets	35,723	117,569	200,284	191,967	166,255	125,934
Total non-current assets	125,195	177,447	253,285	268,839	279,982	291,066
Total assets	324,247	403,155	508,096	503,512	617,869	648,181
Liabilities						
Trade payables	62,099	98,281	110,699	74,096	139,929	108,477
Other payables and accruals	25,615	36,372	35,352	33,539	38,844	45,084
Advance from customers	13,615	16,581	19,273	23,636	27,609	32,206
Borrowings	6,183	13,327	13,202	14,202	15,202	16,202
Other current liabilities	8,076	10,824	13,879	13,879	13,879	13,879
Total current liabilities	115,588	175,385	192,405	159,352	235,463	215,848
Borrowings	21,674	17,276	22,921	22,921	22,921	22,921
Deferred income tax liabilities	1,494	1,282	2,401	2,601	2,601	2,601
Warranty provision	1,216	1,695	3,652	3,652	3,652	3,652
Other non-current liabilities	20,014	18,312	20,393	20,393	20,393	20,393
Total non-current liabilities	44,398	38,565	49,367	49,567	49,567	49,567
Total liabilities	159,986	213,950	241,773	208,919	285,030	265,416
Total equity	164,262	189,205	266,323	294,593	332,839	382,766
Total liabilities and equity	324,247	403,155	508,096	503,512	617,869	648,181

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	18 Aug 2026	Price Target	TTM	Reported EPS				EV/Sales (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
1810.HK (Xiaomi)	O	HKD	26.18	35.00	(70.1)%	CNY	1.62	0.89	1.29	1.0	1.0	0.9
OLD				38.00				0.93	1.41			
SPX			7,745.06									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Xiaomi Corp**

Our HK\$35.00 (*Old: HK\$38.00*) PT is based on our SOTP valuation. To value its Smartphone and IoT business, we apply 10x 2026E P/E and 8x 2026E EV/EBIT multiples (both unchanged). For Internet Services, we apply 15x 2026E P/E and 12x 2026E EV/EBIT multiples (both unchanged). For the EV business, we analyze its valuation with DCF, P/E, and EV/sales methods. We apply 12% WACC and 2% LT growth in our DCF, 15x 2035E P/E multiple and discounting back, and 2x 1-yr forward EV/Sales multiples, respectively.

RISKS**Xiaomi Corp**

Key risks to our price target relate to hardware sales volume missing expectation, unsuccessful premiumization at smartphones and IoT products, sales of current and future vehicles, issues arise with product quality, potential recalls and public relations management, soft domestic or global consumer demand due to weak macroeconomics backdrop, deteriorating competitive landscape, technological disruption, unfavourable Chinese government policies and geopolitical tensions

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Not Covered (NC) denotes companies that are not under coverage.

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Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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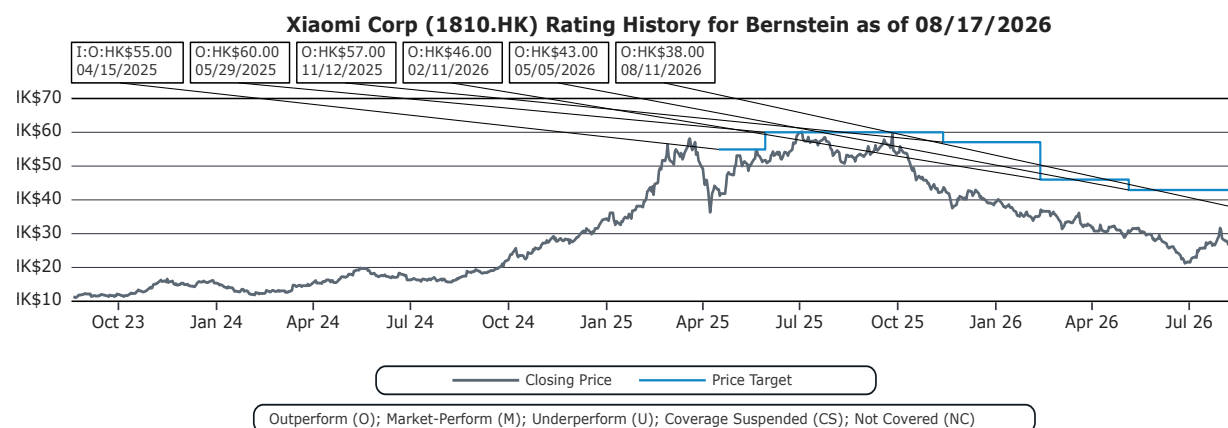
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

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